



CRB Builders, LLC Group Captive Insurance Option

June 28, 2017

CRB Builders Loss History

Policy Year	General Liability	Business Auto	Workers Comp.	Total
2016 to 2017	\$0	\$1,068	\$21,739	\$22,807
2015 to 2016	\$0	\$522	\$286	\$808
2014 to 2015	\$0	\$2,110	\$0	\$2,110
2013 to 2014	\$0	\$3,580	\$0	\$3,580
2012 to 2013	\$0	\$2,549	\$0	\$2,549
Total	\$0	\$9,829	\$22,025	\$31,854

Losses valued April 2017

CRB Builders Loss History

- Total losses for five years: \$31,854
- Average annual losses: \$6,371
- But to project losses, the prior losses need to be adjusted for:
 - Firm growth
 - Expected development to reach final ultimate cost
 - Capped at \$100,000 per occurrence (A Fund)
 - Inflation
 - Losses for similar firms

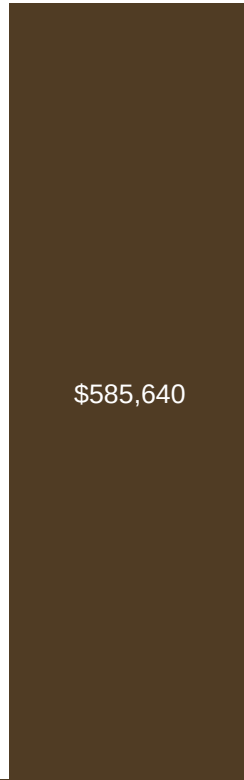
CRB Builders Loss History

- Projected A Fund losses for the 2017/18 policy year are \$211,646
 - Presumes future exposures and loss rates will be similar to those in the past
 - Prepared by independent actuarial firm Pinnacle Actuarial Resources, Inc.



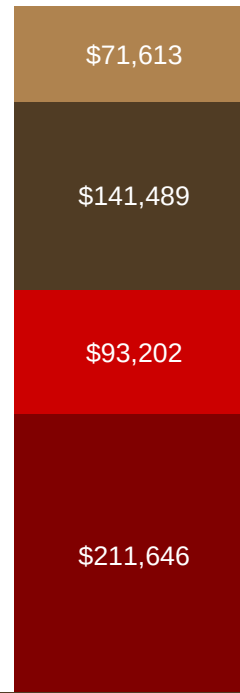
Captive Program vs. Traditional Insurance (Initial Pay-in)

2017/18 Renewal Premium for Current Program*



Captive Pay-In Premium (Annual)

\$517,950



Surcharges and Broker Fee
(est'd state surcharges and
broker compensation)

Program Expenses
(reinsurance, fronting, and
captive and claims fees)

B Fund Premium: For
claims from \$100K to \$400K
each

A Fund Premium:
For claims up to
\$100K each

The **Maximum** cost is:

Pay-In Premium
+ One Additional A Fund
\$729,596 -
Investment Income
(TBD)

*Broker compensation (\$68,000) is the current commission from CNA policies

Impact of Losses

- The captive program will pay a dividend, or make an experience adjustment, based on:
 - Losses **under \$100,000 each (A Fund)**; capped at 2 times A Fund
 - Losses **between \$100,000 and \$400,000 each (B Fund)**; capped at 1 times B Fund
 - AIG will pay for the portion of any individual loss that **exceeds \$400,000 (Reinsurance)**
- There will also be:
 - Risk Sharing (for losses of others that exceed their B Fund premium or 2 times their A Fund)
 - Tail Fund (cost to close out a policy year)
 - And if CRB Builders causes **risk sharing**, it will reduce or eliminate the potential dividend paid to CRB Builders

Assumptions

- **Investment Income**
 - Amount: \$30,485 based on expected loss level, payout patterns, and prior returns of Captive Investors Fund
 - Amount will be higher with fewer losses and lower with more losses
 - Future investment returns are not known or guaranteed
- **Timing of Dividend Payments and Policy Year Close-Out**
 - Payment of dividends and close-out of a policy year are decided upon by committee members and are subject to change
- **Cost of Risk Sharing and Tail Fund**
 - \$24,669 (est'd amount that will vary by policy year and with amount of losses)

What if CRB Builders has “normal” losses in 2017/18?

Losses :	\$6,371
A Fund Premium:	\$6,371
2nd A Fund Assessment:	\$0
B Fund Premium:	\$0
Captive Expenses:	\$141,489
Est'd State Surcharges and Assessments:	\$3,613
Risk Sharing and Tail Fund (est'd):	\$24,669
Investment Income (est'd):	(\$30,485)
Broker Fee:	<u>\$68,000</u>
Final Cost:	\$213,657
Est'd Renewal Premium:	\$585,640
Est'd Savings (64%):	\$371,983

Note: Amounts shown are after investment income, dividends, experience adjustments, risk sharing and close-out costs are paid. Final cost calculations requires estimating future costs that are not yet known.

What if CRB Builders losses in 2017/18 equal to its best year of the past five years? (2015/16)

Losses :	\$808
A Fund Premium:	\$808
2nd A Fund Assessment:	\$0
B Fund Premium:	\$0
Captive Expenses:	\$141,489
Est'd State Surcharges and Assessments:	\$3,613
Risk Sharing and Tail Fund (est'd):	\$24,669
Investment Income (est'd):	(\$30,485)
Broker Fee:	<u>\$68,000</u>
Final Cost:	\$208,094
Est'd Renewal Premium:	\$585,640
Est'd Savings (64%):	\$377,546

Note: Amounts shown are after investment income, dividends, experience adjustments, risk sharing and close-out costs are paid. Final cost calculations requires estimating future costs that are not yet known.

What if CRB Builders losses in 2017/18 equal to its worst year of the past five years? (2016/17)

Losses :	\$22,807
A Fund Premium:	\$22,807
2nd A Fund Assessment:	\$0
B Fund Premium:	\$0
Captive Expenses:	\$141,489
Est'd State Surcharges and Assessments:	\$3,613
Risk Sharing and Tail Fund (est'd):	\$24,669
Investment Income (est'd):	(\$30,485)
Broker Fee:	<u>\$68,000</u>
Final Cost:	\$230,093
Est'd Renewal Premium:	\$585,640
Est'd Savings (61%):	\$355,547

Note: Amounts shown are after investment income, dividends, experience adjustments, risk sharing and close-out costs are paid. Final cost calculations requires estimating future costs that are not yet known.

What if CRB Builders has “normal” losses in 2017/18 plus a \$1M loss?

Losses :	\$6,371 + \$1M
A Fund Premium:	\$106,371
Loss of A Fund Dividend Balance:	\$105,275
B Fund Premium:	\$93,202
Captive Expenses:	\$141,489
Est'd State Surcharges and Assessments:	\$3,613
Risk Sharing and Tail Fund (est'd):	\$24,669
Investment Income (est'd):	(\$15,000)
Broker Fee:	\$68,000
Final Cost:	\$527,619
Est'd Renewal Premium:	\$585,640
Est'd Savings (10%):	\$58,021

Note: Amounts shown are after investment income, dividends, experience adjustments, risk sharing and close-out costs are paid. Final cost calculations requires estimating future costs that are not yet known.

Cash Flow

- **Stock**
 - Purchase one share at a cost of \$36,000 (by policy inception)
- **Premium**
 - \$449,950
 - First installment is due prior to policy inception
 - Premium is subject to an exposure audit at the end of the policy year
- **Collateral**
 - Two-thirds of the A Fund this year: \$141,803
 - Plus two-thirds of the A fund in following years until the total collateral is equal to **two times the A Fund**
 - Collateral can be a letter of credit or cash kept in the Captive Investors Fund
 - Collateral is due within 60 days of binding coverage

Cash Flow

- **Experience Adjustment**
 - If losses exceed certain thresholds, an experience adjustment will occur the following year
- **Dividend**
 - Will occur no sooner than three years after expiration of the policy year
 - Dividend payments are often spread over several years
- **Tail Fund**
 - When a policy year is closed, a payment will be made to a tail fund to cover future unknown liabilities

Commitment

- Board meetings
 - Twice a year, offshore
- In-person risk workshops
 - Twice a year
- Loss prevention webinars
- All members receive a risk score

Commitment

- Evolution's management strength lies in its strong committee structure and individual involvement by shareholders. Board and committee meetings are scheduled twice a year in the Cayman Islands or other offshore locations. Shareholders are encouraged to attend all Evolution meetings and actively participate in committee sessions. The committees of the Board and their primary responsibilities are:
 - **Executive Committee:** Comprised of officers and committee chairpersons, the focus of this committee is to develop long-range plans for the Company, based on strategic analysis.
 - **Underwriting:** The Underwriting Committee advises the Board on desirable risks to be assumed and ensures that the assumed risks are adequately underwritten. From time to time, this committee will also review the Company's retention limits, and recommend to the Board any changes that may be appropriate.
 - **Risk Control:** The Risk Control Committee sets loss control goals for the members, reviews loss control reports and works with members to meet the required loss control goals of Evolution.
 - **Finance and Investment:** Chaired by the Company's Treasurer, the Finance Committee reviews the annual audited financial statements and semi-annual unaudited statements, and advises the Board on policies for the investment of Evolution's assets.
- The Board relies on the recommendations of these committees to establish policies.

Other

- Evolution's renewal date is April 1
 - Change other policies?
- What else will be different?
 - Unbundled services
 - Sedgwick for Claims
 - Risk Consultants, Inc.
 - Other
 - Buying stock
 - Dealing with claims
 - Join Board of Directors

Commonly Asked Questions

- **Who can own the share of stock?**
 - Your company or individuals you select
- **How do voting rights work?**
 - One share per member company; each share gets one vote
- **Where are my loss funds and other cash invested?**
 - The **Captive Investors Fund** with \$1.7B in assets; life of fund return of almost 6%
- **Are the premiums tax deductible?**
 - Yes, the same as with traditional insurance
- **Is there a penalty to leave?**
 - No

Past Five Years Estimated Insurer Profit

Premium:	\$2,230,927
Insurer Expenses (35%):	(\$780,824)
Losses:	(\$31,854)
Profit:	\$1,418,249 plus investment income

Past Five Years if CRB would have been in the Captive

Losses :	\$31,854
Losses in 1st A Fund:	\$31,854
Losses in 2nd A Fund:	\$0
Losses in B Fund:	\$0
Operating Costs:	\$707,445
Est'd Surcharges and Broker Fee:	\$358,065
Risk Sharing:	\$111,585
Tail Fund:	\$11,760
Investment Income:	<u>(\$152,425)</u>
Final Cost:	\$1,068,284
Actual Past Five Year Premium:	\$2,230,927
Savings (52%):	\$1,162,643

Note: Amounts shown are after investment income, dividends, experience adjustments, risk sharing and close-out costs are paid. Final cost calculations requires estimating future costs that are not yet known.

Next Steps

- Replace insurers for umbrella and property insurance:
- Bind Coverage
- Issue certificates of insurance

Questions

Greyling Insurance Brokerage

Atlanta | St. Louis | Palm Coast

(770) 552-4225

www.greyling.com